In other words, International Economics is a specialized field of Economics which deals with the economic interdependence among countries and studies the effects of such interdependence and the factors that affect it.

7.3 Subject Matter of International Economics

The subject matter of International Economics includes large number of segments which are classified into the following parts.

1. Pure Theory of Trade

This component explains the causes for foreign trade, composition, direction and volume of trade, determination of the terms of trade and exchange rate, issues related to balance of trade and balance of payments.

2. Policy Issues

Under this part, policy issues such as free trade vs. protection, methods of regulating trade, capital and technology flows, use of taxation, subsidies and dumping, exchange control and convertibility, foreign aid, external borrowings and foreign direct investment, measures of correcting disequilibrium in the balance of payments etc are covered.

3. International Cartels and Trade Blocs

This part deals with the economic integration in the form of international cartels, customs unions, monetary unions, trade blocs, economic unions and the like. It also discusses the operation of Multi National Corporations (MNCs).

4. International Financial and Trade Regulatory Institutions

The financial institutions like International Monetary Fund IMF, IBRD, WTO etc which influence international economic transactions and relations shall also be the part of international economics.

7.4 Meaning of Trade

Trade is one of the powerful forces of economic integration. The term 'trade' means exchange of goods, wares or merchandise among people.

Trade is of two types. They are:

a) Internal Trade and
b) International Trade.



7.4.1 Internal Trade

It refers to the exchange of goods and services within the political and geographical boundaries of a nation. It is a trade within a country. This is also known as 'domestic trade' or 'home trade' or 'intra-regional trade'.

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